NCERT Summary: Topic 11: Open Economy, Trade & Globalisation

Source Integration

- NCERT Class 12 Introductory Macroeconomics, Chapter 6: Open Economy Macroeconomics
- NCERT Class 10 Understanding Economic Development, Chapter 4: Globalisation and the Indian Economy

Core Factual & Conceptual Architecture

1. Balance of Payments (BoP) Architecture

- Definition: A comprehensive and systematic accounting record of all economic transactions conducted between residents of a country and the rest of the world within a given financial year.
- Current Account: Records cross-border flows of visible goods, invisible services, factor earnings, and unilateral unilateral transfers.
  - Balance of Trade (BoT): Exports of merchandise goods minus imports of merchandise goods. A positive balance indicates a trade surplus; a negative balance indicates a trade deficit.
  - Net Invisibles: Encompasses non-factor services (software, travel, transport), factor income (wages, investment profits, interest), and unilateral transfers (remittances, personal gifts, humanitarian grants).
  - Economic Signal: A current account deficit implies that the nation is a net borrower from the global economy; a current account surplus denotes a net lender.
- Capital Account: Encompasses all international transactions involving cross-border transfers of financial assets and liabilities.
  - Core Components: Foreign Direct Investment (FDI), Foreign Institutional Investment (FII / Portfolio), sovereign loans, commercial external debt, and banking capital.
  - Debit/Credit Rule: Purchases of foreign assets by residents are debits (capital outflows); sales of domestic assets to foreign investors are credits (capital inflows).
- Accounting Identity: Current Account Balance + Capital Account Balance equals Zero.
- Transaction Types:
  - Autonomous Transactions ("Above the Line"): Carried out independently of the state of the BoP, guided purely by economic incentives like commercial profit.
  - Accommodating Transactions ("Below the Line"): Carried out deliberately by monetary authorities to finance and bridge deficits or surpluses originating from autonomous transactions.
  - Reserve Movements: Overall BoP imbalances are settled through changes in the country's official foreign exchange reserves.

2. Foreign Exchange Regimes & Market Dynamics

- Foreign Exchange Rate: The price of a domestic currency unit expressed in terms of a foreign currency unit.
- Regimes of Exchange:
  - Flexible (Floating) Exchange Rate: Price determined freely by market demand and supply of foreign currency without central bank intervention.
  - Fixed Exchange Rate: The central bank pegs the currency value at a predetermined statutory level, intervening with reserve sales or purchases to maintain the peg.
  - Managed Floating ("Dirty Floating"): Market forces establish baseline trends, but the central bank steps in periodically to curb high volatility and stabilize the currency.
- Valuation Terminology:
  - Market Movements: Depreciation (market-driven decline in currency value) versus Appreciation (market-driven rise in currency value).

    - Administrative Movements: Devaluation (official deliberate peg reduction by the state) versus Revaluation (official deliberate peg enhancement).
- Determinants of Exchange Rates:
    - Financial Arbitrage & Interest Differentials: Higher relative domestic interest rates stimulate cross-border capital inflows, appreciating the home currency.
    - Income Differentials: Rapid domestic economic growth expands demand for imported commodities, driving currency depreciation.
    - Speculative Currency Flows: Expectations of near-term depreciation generate self-fulfilling capital flights.
    - Purchasing Power Parity (PPP): Long-run structural theory positing that exchange rates adjust so that a standard basket of commodities maintains equal purchasing power across countries, reflecting relative inflation rates.

3. Open Economy Aggregate Demand & The Import Leakage

- Open Economy AD Formula: AD = C + I + G + (X - M), where (X - M) represents net exports.
- Marginal Propensity to Import (m): The portion of each incremental rupee of national income that is spent on imported foreign commodities rather than domestic production.
- Open Economy Multiplier: Because imports direct a portion of domestic spending power abroad, the open-economy multiplier is strictly smaller than the closed-economy multiplier: k = 1 / (MPS + Marginal Propensity to Import).

4. Multinational Corporations (MNCs) & Production Networks

- Definition: A corporate conglomerate that owns, coordinates, or controls productive assets across multiple sovereign nations.
- Strategies for Global Integration:
    - Setting up greenfield wholly-owned subsidiaries and manufacturing plants abroad.
    - Establishing joint ventures with domestic companies to share local market access, technological patents, and equity capital.
    - Acquiring established domestic enterprises (e.g., Cargill Foods purchasing Parakh Foods in India to scale edible oil supply).
    - Contracting OEM production to networks of small decentralized suppliers (apparel, sports gear, footwear).

5. Enabling Catalysts of Modern Globalisation

- Transport and Digital Communications: Containerized maritime shipping, lower air-cargo costs, transoceanic fiber-optic networks, enterprise email, and automated global financial clearing systems.
- Policy Liberalisation (1991 Reforms): Dismantling strict quantitative import tariffs, quotas, and restrictive licensing regimes, shifting the economy from inward-looking import substitution to outward-oriented export competition.
- Multilateral Trade Framework (WTO): International organization setting dispute mechanisms and tariff reduction schedules across member nations.
    - Asymmetric Trade Critique: Developing nations face regulatory pressure to remove industrial protection, while advanced economies preserve extensive domestic agricultural subsidies, enabling artificial export dumping.

6. Domestic Welfare Impacts & Fair Globalisation

- Asymmetric Impacts in India:
    - Winners: Affluent urban consumers gaining product diversity and competitive pricing; highly skilled professionals in tech and finance; organized domestic suppliers to global conglomerates.
    - Losers: Small-scale manufacturing units facing cheap import competition (e.g., domestic toy makers facing Chinese imports); unorganized informal laborers facing flexible, insecure short-term contracts.
- Agenda for Fair Globalisation: Rigorous domestic enforcement of labor protections,

supportive credit access for vulnerable small producers, strategic deployment of protective tariffs against predatory dumping, and forming multilateral negotiating coalitions at the WTO.

✍ Notes & Updates